Chapter Three

State of the Agriculture Economy

India Was in the Forefront of Global Agriculture for Millennia

Food, clothing and housing are the most essential goods for human survival, health, prosperity and happiness. In the pre-agriculture era, human beings depended upon nature and the wild to provide all these. Agriculture was the first organized industry created by human beings to produce food, clothing, medicine and wood for housing. Agriculture used human labour. Savings from agriculture led to the first accumulation of capital.

India has been a pioneer throughout the history of agricultural development over the past ten millennia, building on its tremendous natural advantages and innovative human spirit and ability. Surplus labour and capital from agriculture spawned handicrafts and handlooms in India and enabled the country to create highly valued products. India became the most prosperous country and remained so for centuries, creating wealth from income mostly from agriculture.

The onset of the Industrial Revolution diminished the role of agriculture as a producer of income and wealth. India lost its pre-eminence and wealth as industry advanced in the West while it was not embraced in the country. Income and wealth creation shifted to industry. In the process, India was reduced to a very poor country. By the time the British left in 1947, 80 per cent of Indians were living below the poverty line. The farmers suffered the most. The Indian farmer, who had provided all the resources for many prosperous empires to take root, had become a pauper—a malnourished soul.